

Paperluz Industry Intelligence Weekly | Issue 009

Intelligence Period: 2026-09-19 ~ 2026-09-25 (Week 39, Published every Friday) Release Date: 2026-09-25

Publisher: Luznet / Paperluz Industry Intelligence (光網資訊 Luznet / Paperluz 產業情報)

Key Highlights: Nine Dragons Annual Profit Surges 102.6% to RMB 3.58B × Ivory Board Majors Enact +RMB 200/MT Price Hike × Taiwan Paper Mills Break NT\$10B in Green Procurement × Chung Hwa Pulp Mill Fire Leaves Lines Intact × EU PFHxA Ban Final 23-Day Sprint × US Pizza Box Anti-Dumping Petition

NINE DRAGONS ANNUAL PROFIT

RMB 3.581 Billion

+102.62% YoY · Clean cycle exit, operating rates back above 91.5%, higher fiber self-sufficiency, gross profit up RMB 135/MT

IVORY BOARD MAJOR PRICE HIKES

+RMB 200 / MT

Invoicing Effective Sep 20–25 · Nine Dragons/APP/Bo Hui/Liansheng lift FBB quotes to RMB 4,450/MT, ending irrational discounts

TAIWAN PAPER GREEN PROCUREMENT

Cheng Loong NT\$7.48B / YFY >NT\$6.3B

MOENV honors circular champions · Long Chen advances carbon governance, expanding biomass cogeneration & recycled fiber

US CONTAINERBOARD RAW SPREAD

\$840 / short ton

Week 4 full invoicing · Linerboard firm at \$975/ST; Smurfit Westrock & Pratt file pizza box anti-dumping petition

CHINA IMPORTED NBSK SPOT

USD 692 / MT (RMB 4,915)

Port inventories drop for 11th consecutive week to 2.086M MT; healthy basis +USD 10 / RMB 70

EU PFHXA PROHIBITION

23 Days Left (Final Sprint)

Oct 18 enforcement · Food contact packaging must be zero-PFAS; aqueous dispersion barrier cardboards surge

1. Executive Summary & Key Strategic Insights

1. **Profit Surge** **Nine Dragons Paper (02689.HK) FY Profit Surges 102.62% to RMB 3.581 Billion, Powering Cleanly Out of Cycle Trough:** Asia's premier packaging board titan announced its latest annual results, with shareholder profit doubling from RMB 1.767B to RMB 3.581B. Aided by optimized fiber furnish, the commissioning of upstream captive wood pulp projects, and operating rates rebounding to 91.5%, gross margin per ton expanded by approximately RMB 135/MT, demonstrating formidable counter-cyclical pricing defense.

2. **Ivory Board Recovery** **Ivory Board Four Majors Enforce +RMB 200/MT Price Hike Across Invoicing, Ending Destructive Discounting:** Nine Dragons, Sinar Mas APP, Bo Hui, and Liansheng officially billed price increases of RMB 200/MT effective September 20–25. Food-grade ivory board (FBB) mill quotes rebounded to RMB 4,350–4,550/MT (\$635/MT), driven by pre-holiday confectionery boxes and Singles' Day e-commerce packaging runs, turning industry cash flows positive.
3. **Green Leadership** **Taiwan Paper Majors Exceed NT\$10B in Green Procurement; MOENV Recognizes Cheng Loong and YFY:** The Ministry of Environment honored green procurement leaders. Cheng Loong achieved NT\$7.48B and YFY surpassed NT\$6.3B, while Long Chen advanced carbon governance. Taiwan mills demonstrated how recovered fiber recycling and biomass cogeneration build a resilient, circular economy fortress.
4. **Operational Resilience** **Chung Hwa Pulp (1905) Taitung Mill Recovers Swiftly from Outdoor Wastepaper Fire with Zero Paper Machine Damage:** A September 20 outdoor wastepaper inventory fire caused an estimated NT\$12M in fiber loss, but paper machines, pulp lines, and structures were completely untouched. The mill maintained uninterrupted operations and on-time shipment schedules.
5. **Trade Defense** **US Containerboard Spread Solid at Record \$840; Majors File Anti-Dumping Petition Against Imported Pizza Boxes:** North American containerboard price hikes hold in their fourth week of billing with linerboard at \$975/ST against US OCC at \$135/ST. Concurrently, Smurfit Westrock and Pratt Industries petitioned the USITC and DOC for anti-dumping duties on unfairly traded imported corrugated pizza boxes.
6. **Softwood Momentum** **China Imported NBSK Spot Ticks Up to \$692/MT (RMB 4,915) as Port Stocks Drop for 11th Straight Week:** Port inventories at Qingdao and Changshu fell to 2.086M tonnes. Textbook publishing and festive food packaging ran at peak capacity (operating rates ~70.2%). SHFE bleached softwood pulp futures closed at RMB 4,845/t, maintaining a disciplined cash-futures basis of +RMB 70/t (+USD 10).
7. **Spread Equilibrium** **Suzano's Asian Hardwood Hike Solidly Embedded; Softwood-Hardwood Spread Balances at \$65/MT (RMB 460):** Global buyers have formed a firm consensus on hardwood price floors (\$625–\$630/MT). The price spread continues to prevent furnish substitution, maintaining balanced pricing equilibrium across both virgin fiber benchmarks.
8. **Regulatory Deadline** **EU PFHxA Ban Countdown Drops to 23 Days; Non-Fluorinated Aqueous Dispersion Barrier Demand Booms:** The EU ban on perfluorohexanoic acid (PFHxA) becomes binding on October 18, 2026. Export supply chains must purge fluorinated grease-resistant barriers, driving rapid uptake of Chung Hwa Pulp's CircuWell and non-PFAS barrier cardboards.
9. **Oceania Transition** **Australia's APCO Advances Packaging Covenant Reforms; ANZ Bans Drive Molded Fiber Substitution:** Australia's Packaging Covenant Organisation (APCO) outlined its next phase of packaging reforms to phase out single-use plastics and EPS containers. New Zealand supermarket chains completed 100% conversion to FSC kraft bags and bagasse trays, accelerating international orders.
10. **Biomass Cogeneration** **Taiwan Mills Operate at Full Capacity for Peak Packaging Season; Biomass Substitution Locks Steam at NT\$725:** Cheng Loong's 1M MT Vietnam mill operates at full capacity. Circular biomass cogeneration (SRF replacement rate at 47.8%) shields Taiwanese mills from grid tariff volatility and upcoming carbon fees, keeping steam costs at NT\$725/ton (\$22.6).

2. Key Indicators Dashboard

2.1 Raw Materials (Pulp Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics & Structural Trends
China Imported NBSK Spot Price	USD 692 / ton (RMB 4,915)	2026-09-25	+USD 2.0 (RMB +15)	Pre-holiday replenishment reaches final phase; port stocks draw down for 11th straight week
China Imported BHKP Spot Price	USD 627 / ton (RMB 4,455)	2026-09-25	+USD 1.0 (RMB +10)	Suzano hike firmly rooted; healthy paper mill intake provides durable floor
SHFE NBSK Futures Settlement (SP)	USD 682 / ton (RMB 4,845)	2026-09-25	+USD 2.0 (RMB +17)	Basis locked at +USD 10 (RMB +70); speculative positions hold steady ahead of holidays
China Mainstream Port Pulp Inventory	2.086M tonnes	2026-09-25	-16k tonnes	11th consecutive weekly drawdown; Changshu and Qingdao port outbound pace high
NBSK - BHKP Spot Spread	USD 65 / ton (RMB 460)	2026-09-25	+USD 1.0 (RMB +5)	Firmly below 500 RMB substitution tipping point; fiber furnish recipes intact
Europe Imported NBSK Spot (CIF)	USD 1,245–1,310 / ton	2026-09-25	+USD 5	Nordic supply discipline sustains high regional premium over Asian benchmarks

2.2 Recovered Fiber (OCC Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics
US 11# OCC Export FAS (West Coast)	USD 135–137 / short ton (RMB 955–970)	2026-09-25	Flat	Asian mills maintain regular procurement rhythms; FAS pricing firm
US 11# OCC Export FAS (East Coast)	USD 137–139 / short ton (RMB 970–985)	2026-09-25	Flat	Transatlantic container bookings balanced; steady European and Asian demand
US Domestic OCC YTD Hike	+USD 100 / short ton	2026-09	Realized	High containerboard operating rates (~92%) sustain domestic fiber appetite
China Domestic OCC Benchmark (Grade A)	USD 285 / ton (RMB 2,020)	2026-09-25	+RMB 5	Pre-festival packing station volumes modest; major mills offer token incentives
Taiwan Domestic OCC Mill Gate Price	USD 131.0 / ton (NT\$ 4,200)	2026-09-25	Flat	Domestic recycling collection and paper mill gate intake remain strictly balanced

2.3 Paperboard & Finished Products

Market	Product Category	Action / Hike (USD-First)	Effective Date	Value Chain Impact Scope
China	Ivory Board / FBB	ND / APP / Bo Hui +RMB 200/MT	2026-09-20 Invoiced	Invoicing full effect; food boxes, cosmetics, and confectionery cartons
China	Nine Dragons Annual Results	Full Year Profit RMB 3.581B (+102%)	2026-09-23 Disclosed	Clean cycle exit; operating rates >91.5%; unit gross profit up RMB 135/MT
US	Pizza Boxes & Containerboard	SW / Pratt File Anti-Dumping Action	2026-09-20 Petition	USITC investigates unfairly traded imported corrugated pizza box dumping
US	Raw Material Spread	USD 840 / short ton (NT\$ 26,910)	2026-09-25	Holds at \$840/ton all-time record; mill margins at multi-year peaks
Taiwan	Green Procurement Milestone	Cheng Loong NT\$7.48B / YFY >NT\$6.3B	2026-09-23 Honored	MOENV honors circular leaders; biomass cogeneration and low-carbon paper
Taiwan	Taitung Pulp Mill Incident	NT\$12M Loss; Paper Machines Intact	2026-09-20 Event	Outdoor wastepaper fire controlled; zero damage to core paper lines

2.4 Key Energy, Foreign Exchange & Maritime Logistics Radar

Domain	Indicator Benchmark	Latest Quote (USD-First)	Trend & WoW	Value Chain Operational & Financial Significance
Geopolitics	Brent Crude Oil Futures	\$92.40 / bbl	-1.6% WoW	Crude consolidates near \$92; chemical sizing (AKD), SBR latex & BSS stay elevated
Forex	USD / TWD Exchange Rate	32.040	NTD +0.02	Moderate NTD strength reduces imported wood pulp and OCC forex settlement costs
Forex	EUR / USD Exchange Rate	1.0965	Euro Firm	Strong Euro limits European linerboard dumping into Asian export corridors
Forex	USD / BRL Exchange Rate	5.0850	Real Steady	Firm Brazilian Real disincentivizes USD discounts on global market pulp sales
Freight	Shanghai Container Freight (SCFI)	3,425.60 pts (USD)	-0.9%	Pre-holiday rush consolidates; US West Coast \$6,580/FEU, East Coast \$9,380/FEU
Freight	Baltic Dry Index (BDI)	1,885 pts	+1.2%	Bulk woodchip vessel charters and long-term pulp carrier rates remain steady
Energy	Taiwan Thermal Coal (Taipower CIF)	\$128.80 / ton	-0.5% MoM	Ample Australian coal; mill SRF biomass >47.8% locks steam at NT\$725/ton (\$22.6)
Energy	China Thermal Coal (QHD 5500)	USD 115.5 / ton (RMB 820)	Controlled	Post-summer power demand eases; paper mill coal costs stable at RMB 270–300/t
Energy	Japan Imported Coal (CIF)	\$136.50 / ton	Range-bound	Japanese mills sustain high specialty export prices to absorb elevated power costs

3. Price Trends & Full-Chain Forward Matrix

Chart 1 | China NBSK vs. BHKP Spot Pulp Spread Dynamics (2026-06 ~ 2026-09-25)

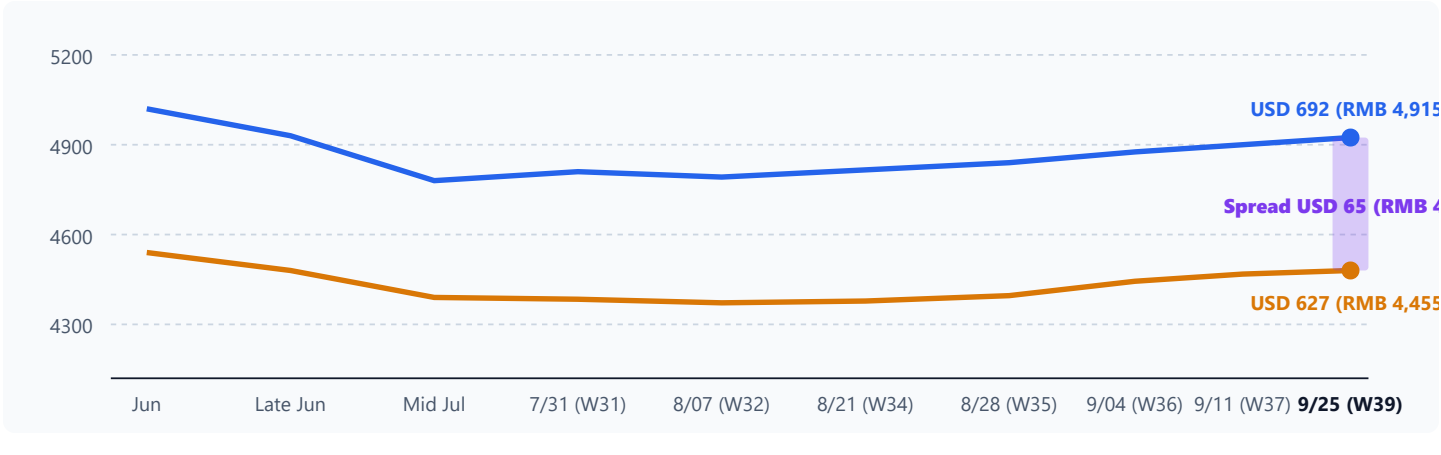


Chart 2 | North American Containerboard Spread Continues Record High (\$840/short ton)

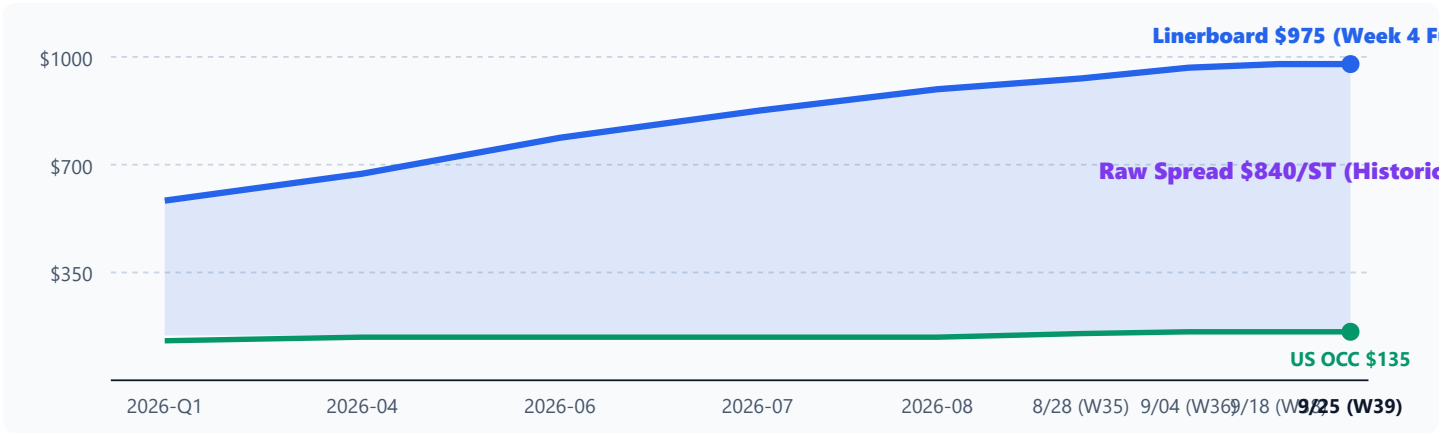


Chart 3 | Taiwan Big 4 Paper Mills Green Procurement & Operational Momentum

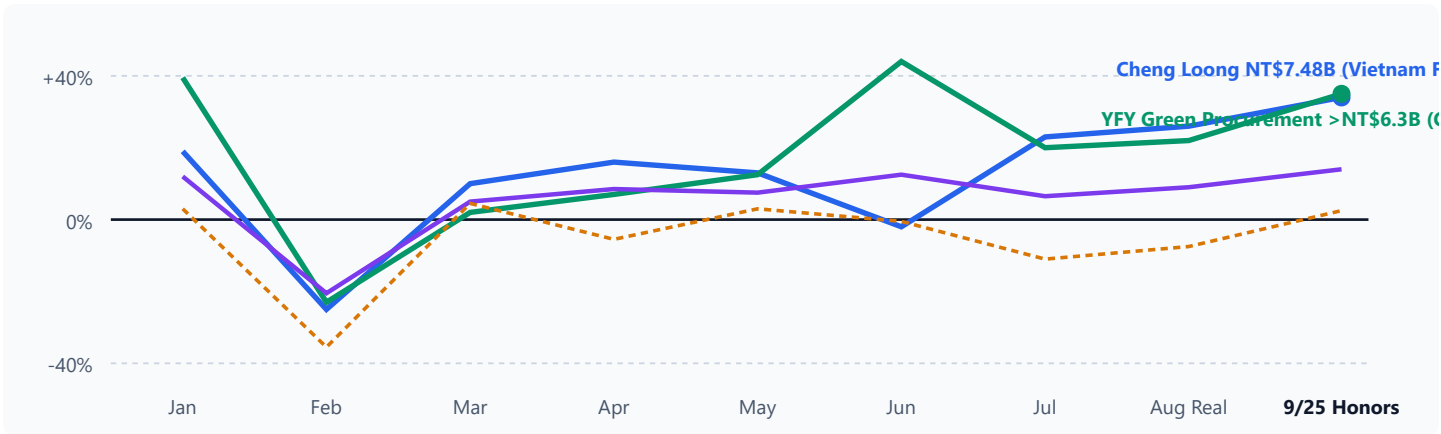


Chart 4 | Containerboard & Ivory Board Global Invoicing Waves (2026-09-25)

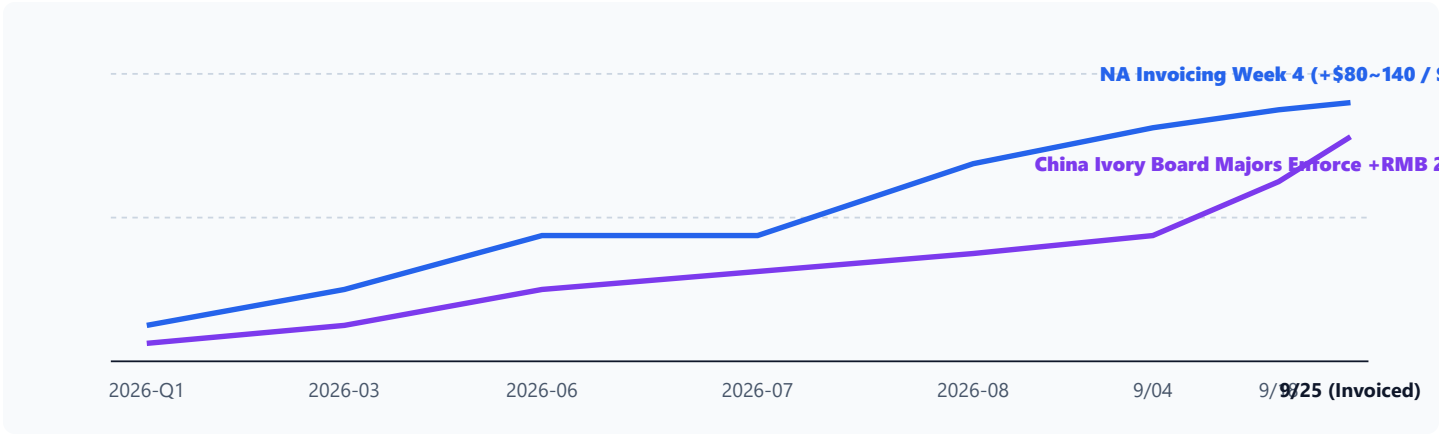
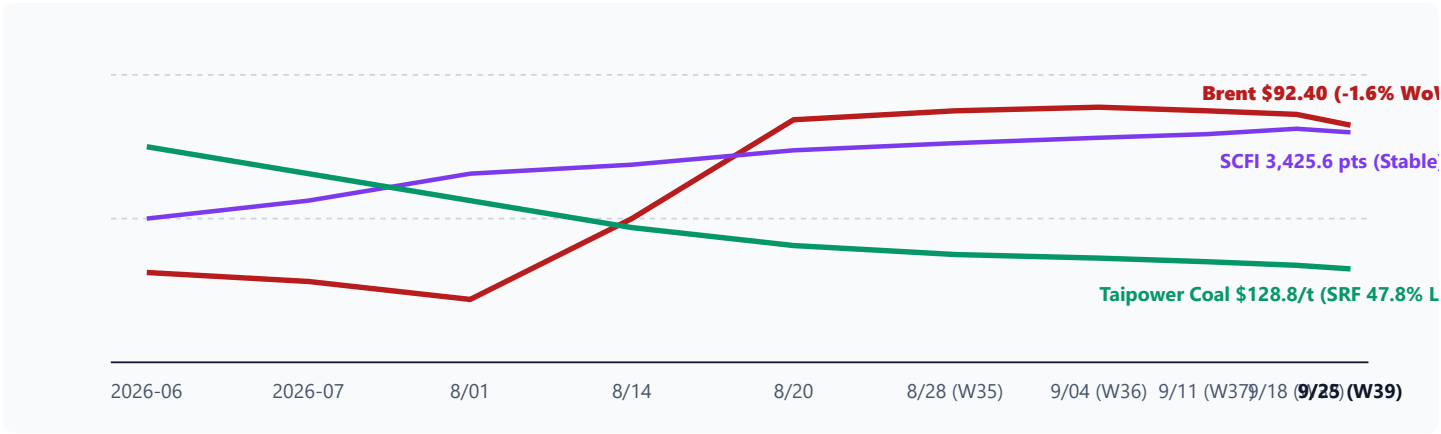


Chart 5 | Global Energy, Maritime SCFI & Taiwan Mill Steam Costs (2026-09-25)



3.6 Full-Chain Forward Outlook & Prediction Matrix (Energy × Pulp × Paper)

Target Benchmark	Category	Current Base (USD-First)	1M Target	3M Target	6M Target	Direction	Primary Drivers & Risk Bounds
Brent Crude Oil	Energy	\$92.40 / bbl	\$90–96	\$86–94	\$80–88	Consolidating	Persistent geopolitical oversight; high shipping bunker adjustments (BSS)
China Imported NBSK	Wood Pulp	USD 692 / ton (RMB 4,915)	\$695–715	\$700–730	\$660–700	Firm Advance	Port inventories drop for 11th consecutive week to 2.086M MT; steady intake
China Imported BHKP	Wood Pulp	USD 627 / ton (RMB 4,455)	\$630–645	\$635–655	\$610–635	Trough Solidified	Suzano hike completely embedded; Cerrado volume absorbed by steady demand
US 11# Export OCC	Recovered Fiber	USD 135–137 / short ton	\$135–140	\$138–145	\$125–135	Steady High	High containerboard operating rates sustain robust domestic recycling demand
US Linerboard	Packaging Board	\$975 / short ton	\$970–990	\$970–1000	\$940–970	Fully Realized	Sept 1 price hikes fully invoiced; Material Spread hits record \$840
Food-Grade Ivory Board (FBB)	Food Packaging	USD 635 / ton (RMB 4,450)	\$640–660	\$650–680	\$620–650	Comprehensive Hike	Majors +RMB 200/MT hike fully invoiced; festive food packaging demand surges

4. Feedstock Market Dynamics: Wood Pulp & Recovered Fiber

Following Suzano's \$20/MT hardwood pulp hike, market sentiment across Asia solidified rapidly. Nordic and North American softwood producers, including Metsa Board and Canfor, reinforced list price discipline, driving imported NBSK spot quotes to USD 692/ton (RMB 4,915/ton). Port stocks at Qingdao and Changshu dropped for the eleventh consecutive week to 2.086M tonnes, underscoring resilient paper mill intake.

In recovered fiber, US domestic box collection remained well balanced, with export FAS quotes holding steady at \$135–\$137/short ton on the West Coast and \$137–\$139/short ton on the East Coast. In China, Grade A OCC mill gate prices ticked up slightly to RMB 2,020/ton as packing yards showed reluctance to sell ahead of the festive holidays.

5. Finished Products: Containerboard, Cultural & Specialty Papers

In containerboard, North American producers PCA, Smurfit Westrock, and International Paper successfully billed their third round of increases into week 4, maintaining the raw material spread at \$840/short ton. In response to surging low-priced imports, Smurfit Westrock and Pratt Industries petitioned the USITC and DOC for anti-dumping duties on corrugated pizza boxes.

In ivory board and specialty grades, Nine Dragons, APP, Bo Hui, and Liansheng enforced a +RMB 200/MT price increase effective September 20–25, lifting FBB spot quotes to RMB 4,350–4,550/MT (\$635/MT). Concurrently, demand for aqueous barrier coated board and certified PFAS-free grease-resistant paper surged sharply in response to China GB 4806.10 and EU PFHxA compliance deadlines.

6. Corporate Strategy & Global Expansion

Nine Dragons Paper (02689.HK) reported an outstanding full-year net profit of RMB 3.581B (+102.62% YoY), demonstrating that the paper manufacturing giant has conclusively exited the multi-year cycle trough. Operating rates returned above 91.5%, while unit gross profit expanded by approximately RMB 135/MT.

In Chile and Brazil, CMPC's 25-year federal land concession for the \$370M Terminal Rio Grande do Sul deep-water port moves toward construction, ensuring 4.6M MT/yr dedicated capacity. In Taiwan, Cheng Loong led green procurement rankings at NT\$7.48B, YFY reached

NT\$6.3B, and Chung Hwa Pulp's Taitung mill resumed normal operations promptly following an outdoor wastepaper fire that left paper machines completely undamaged.

7. Global Regulations & ESG Transformation

- **EU PFHxA Ban Final Countdown (23 Days Remaining):** Effective 2026-10-18, perfluorohexanoic acid and related substances will be prohibited across EU food packaging. Supply chains have entered the final sprint to purge fluorinated barriers.
- **EU PPWR 44 Days in Force:** European port authorities have commenced systematic sampling of food-contact paper packaging for total fluorine (<50 ppm) and verified Design for Recycling (DfR) declarations.
- **China GB 4806.10-2025 Enacted (Day 23):** Paper coatings are officially governed under mandatory food safety standards, driving rapid market substitution away from fluorinated chemicals toward water-based bio-barrier coatings.
- **EU EUDR Deforestation Regulation Countdown (96 Days Remaining):** Wood pulp, paperboard, and cartons entering the EU require plot-level GPS coordinates and Due Diligence Statements (DDS).
- **Taiwan 2026 Carbon Fee Implementation:** Large industrial emitters prepare inaugural greenhouse gas filings. Cheng Loong, YFY, and Long Chen expand SRF biomass fuels (>47.8% replacement) and waste heat recovery to secure preferential fee discounts.

8. Strategic Implications for Taiwan Paper Industry

1. **Feedstock Sourcing:** The NT Dollar remains firm at 32.040, preserving foreign exchange purchasing power. Mills should take advantage of NBSK at USD 692/MT and US OCC at USD 135/short ton to lock in Q4 and early 2027 safety reserves.
2. **Containerboard Exporters:** North American Sept 1 hikes widen global virgin-to-recycled spreads to \$840/short ton. Cheng Loong's 1M MT capacity in Vietnam and Long Chen's high capacity utilization position both to expand H2 revenues and margins.
3. **Specialty & Cultural Paper Mills:** Chung Hwa Pulp's non-plastic barrier board directly fulfills GB 4806.10 and EU PPWR mandates. Capacity discipline supports premium price realization in domestic and export markets.
4. **Packaging Converters & Boxmakers:** Faced with mill price hikes and raw spread records, boxmakers must stand firm in passing price adjustments to clients to protect operating margins.
5. **Brand Export Manufacturers:** Must conduct comprehensive supply chain audits for PFAS-free verification and EUDR compliance to prevent cargo impoundment at European and international ports.

9. Value Chain Transmission Mechanism

- **Pulp Price Transmission:** Suzano Asian hike +\$20/MT realized → Imported NBSK climbs to \$692/MT → Woodfree and ivory board price hikes (+RMB 200/MT) → Printing and packaging cartons repriced (transmission lag: 3–5 weeks).
- **Containerboard Transmission:** North American containerboard +\$80~140/short ton fully invoiced → Asian imported kraftliner rises +\$30~50/MT → Taiwan & Southeast Asian corrugated carton prices adjust +5~10% (transmission lag: 2–4 weeks).
- **Regulatory Substitution:** EU PFHxA 23-day countdown + China GB 4806.10 in force → Legacy fluorinated/PE paperboards phased out → Aqueous bio-based barrier paperboard market share accelerates past 53%.

10. Key Milestones Calendar

Effective Date	Regulatory & Industrial Milestone	Value Chain Impact & Operational Countermeasures
2026-08-12	EU PPWR Packaging Regulation Officially Enacted	Active for 44 days; European exports subject to DfR recyclable design and PFAS audits
2026-09-01	North American Top 3 Containerboard Hikes Enacted	PCA (+\$140), SW (+\$100), IP (+\$80) fully invoiced; Raw Material Spread hits \$840 record
2026-09-02	China GB 4806.10 Food Coating Standard Enacted	Paper coatings regulated; aromatic amines and PFAS restricted; aqueous barriers mandatory
2026-09-20	China Ivory Board Majors Enact +RMB 200/MT Price Hike	ND/APP/Bo Hui/Liansheng lift FBB quotes to RMB 4,450/MT, ending irrational discounts
2026-09-23	Nine Dragons Discloses FY Profit Surge +102.6% to RMB 3.58B	Clean cycle exit; operating rates >91.5%; unit gross margin up RMB 135/MT
2026-10-18	EU PFHxA Ban Takes Effect (Countdown: 23 Days)	Fluorinated grease-resistant additives banished from EU food packaging (final month)
2026-12-30	EU EUDR Deforestation Rule Enforced (Countdown: 96 Days)	Imported wood pulp, paper, and boxes must supply plot-level GPS DDS filings
2027-01-01	Taiwan 2026 Carbon Fee Reporting & Formal Levying	Paper mills face inaugural carbon fee declarations; SRF biomass secures discounts